CASCADIA ANALYTICS

INVESTMENT SCORECARD

NSC

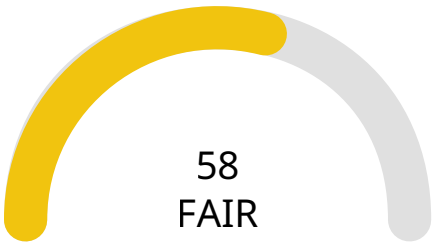
Norfolk Southern Corporation (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$325.57 [Mkt 17-Oct-26]

Market Cap: $73.6B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

Class I railroad with genuine duopoly economics in the East. OR improved from 76.5% to 64.2% GAAP since 2023, $4.4B railway operating income, steady dividend. But adjusted OR still 65.5%, well behind best-in-class peers, and leverage is high at 116% debt-to-equity.

2. Recent Trend — 70

Top line is genuinely strong: record quarterly revenue, +11% YoY, +4% volume. But margin control slipped badly, with adjusted OR up 210 bps and opex guidance raised to $8.8-8.9B. Revenue is carrying the stock, costs are not.

3. Forward Growth — 62

Intermodal and industrial demand are improving, $215M+ of productivity savings were delivered, and the merger promises $2.75B in synergies. But organic railroad growth is low-single-digit and the OR trajectory, not volume, decides earnings.

4. Valuation — 30

Standalone DCF base $141.50 implies 57% downside from $325.57, and the reverse DCF needs a 20.2% revenue CAGR, which is fantasy without the merger. The stock trades as merger paper at deal value, not as a railroad. Terminal value is the Gordon perpetuity alone at 2.5% growth on terminal-year free cash flow. The EV/EBITDA exit leg on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull) is retained in the model as a cross-check and is not used in the

valuation. In the base case the Gordon leg is $52.1B and the exit leg is $102.8B, so the exit leg runs about 2.0 times the Gordon leg, and we state that relationship rather than smooth it. At the model's terminal discount rate the exit leg implies 5.58% perpetual growth against the 2.5% assumed, and the growth-consistent exit multiple is 7.4x against the 14.5x used. The present value of terminal value is 74.9% of enterprise value (bear 74.2%, bull 75.3%). Cash flows are unlevered and are discounted at a weighted WACC of 8.90%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights (corrected 2026-10-22; the prior build discounted unlevered FCF at cost of equity alone, 9.76%).

5. Catalysts & Risk — 60

Q3 earnings Oct 22 and STB procedural milestones are near-term positives; more unions now support the merger than oppose it. But this is a binary: STB rejection would likely erase 30%+ of the price. Risk skew is fat-tailed and negative.

Investment Thesis

- **Merger Paper, Not a Railroad:** Union Pacific agreed to pay 1.0 UNP share plus $88.82 cash per NSC share, worth $320 at announcement, a 25% premium [8-K guid]. The STB accepted the revised application in May 2026, rejected dismissal motions in September, and set a procedural schedule; the companies expect to close in the second half of 2027.
- **Duopoly Economics Improving:** Eastern US Class I with record $3.5B quarterly revenue, +4% volume, and a GAAP operating ratio recovered from 76.5% in FY23 to 64.2% in FY25. Dividend of $5.40 annualized. The franchise is strong even if the price is not [8-K guid].
- **Standalone Price Makes No Sense:** At $325.57 [Mkt 17-Oct-26], the stock trades 68% above our $141.50 DCF base and the reverse DCF demands a 20.2% revenue CAGR. Without the merger, downside is severe. This is a bet on STB approval, not on the railroad.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$3.5B [8-K guid]	+11% (record quarter) [8-K guid]	Up
Adj Operating Ratio (Q2 2026)	65.5% [8-K guid]	Worse by 210 bps [8-K guid]	Down
Adj Diluted EPS (Q2 2026)	$3.52 [8-K guid]	+7% [8-K guid]	Up
Total Debt	$16.6B [10-Q Q2 FY26]	D/E 116% [10-Q Q2 FY26]	Flat
Annualized Dividend	$5.40 [8-K guid]	1.65% yield [Mkt 17-Oct-26]	Flat
FY2026 Adj Opex Guide	$8.8-8.9B [8-K guid]	Raised after Q2 [8-K guid]	Up
Merger Implied Value (at announcement)	$320 [8-K guid]	25% premium to 30-day VWAP [8-K guid]	Flat

Historical Financial Trend

Metric	FY23	FY24	FY25	TTM
Revenue	$12.16B [10-K FY23]	$12.12B [10-K FY24]	$12.18B [10-K FY25]	$12.54B [10-Q Q2 FY26]
Op Ratio (GAAP)	76.5% [10-K FY23]	66.4% [10-K FY24]	64.2% [10-K FY25]	n/a [n/a]
Net Income	$1.83B [10-K FY23]	$2.62B [10-K FY24]	$2.87B [10-K FY25]	$2.64B [10-Q Q2 FY26]

Valuation

Absolute (2/10)

DCF Base $141.50 vs $325.57 = -57% [Mkt 17-Oct-26]
Reverse DCF implied CAGR 20.2% [Mkt 17-Oct-26]
Div yield 1.65% [Mkt 17-Oct-26]

On standalone fundamentals the stock is deeply overvalued; the reverse DCF CAGR is more than double anything the railroad has ever delivered.

Versus Peers (4/8)

JPM PT $318 Neutral, Susquehanna PT $350 Neutral [Peers 17-Oct-26]
UNP/CSX trade at similar ~20-22x forward P/E [Peers 17-Oct-26]

Analysts rate it on deal value, not earnings. The merger is the entire valuation debate.

Versus History (3/7)

Trading near 52-week high ($358.60) [Mkt 17-Oct-26]
Above the $320 merger announcement value

Price has been pinned to deal value since July 2025; there is no standalone re-rating story in the multiple.

Catalyst Timeline

Oct 22, 2026 [8-K guid]
Q3 2026 Earnings (Two-Sided): Record revenue streak vs OR pressure. Q2 adjusted OR worsened 210 bps despite +11% revenue.

2027 [8-K guid]
STB Merger Decision (Two-Sided): Approval

Top Risk Factors (Item 1A)

1. STB Merger Rejection: First major rail merger judged under the STB's 2001 rules, which require enhanced competition, not just maintenance. UP agreed to a $2.5B reverse termination fee if the deal dies. Rejection would collapse the merger premium. [8-K guid]

2. Economic Cyclicality: Freight volumes track industrial production. A recession would cut

locks in merger value; rejection collapses a ~68% premium to our standalone DCF base.

2027 [8-K guid]
Merger Synergies (Positive): $2.75B annualized synergies and 7 premium intermodal lanes if the UP deal closes.

What Would Change Our Score

STB approval (expected H2 2027) confirms the merger value; rejection would likely cut 30%+ off the price toward standalone value. Near term, the Oct 22 Q3 OR print decides whether the margin slippage is one-off or structural.

carloads across intermodal, metals, and automotive while the fixed cost base barely moves. [10-K FY25]

3. Operating Ratio Pressure: Adjusted OR already worsened 210 bps in Q2 and opex guidance was raised. Fuel costs and labor inflation are persistent headwinds to the OR improvement story. [8-K guid]

4. Legacy Costs and Leverage: Eastern Ohio incident costs and merger-related expenses keep recurring in adjustments. Debt of $16.6B at 116% debt-to-equity leaves limited cushion if earnings soften. [10-K FY25]

Forward Growth Drivers

- UP merger at $320/share value (1.0 UNP share + $88.82 cash), 25% premium, STB review advancing [8-K guid]
- Record $3.5B quarterly revenue on +4% volume and +11% YoY growth [8-K guid]
- Operating ratio recovery: GAAP OR from 76.5% (FY23) to 64.2% (FY25), $215M+ productivity savings [8-K guid]
- Intermodal and industrial demand improving across key markets in 2026 [8-K guid]

Missing / Modified Data Log

- FY26 consensus EPS not pulled; used company guidance and Q2 annualization.
- ROIC not explicitly disclosed; used operating ratio trajectory qualitatively.
- Eastern Ohio incident remaining reserves not broken out separately.
- Per-share EPS for FY23/FY24 removed from trend table (derived, not sourced); FY25 EPS $12.75 in key filing history.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.